

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

SEAFair USA LLC, *Complainant*

v.

STERLING CONTAINER LINE LTD. AND ATLANTIC
FORWARDING LTD., *Respondents*.

DOCKET NO. 22-34

Served: July 6, 2023

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER ON MOTION TO AMEND THE COMPLAINT AND THE SCHEDULING ORDER

On June 27, 2023, Complainant SeaFair USA LLC (“SeaFair”) filed a combined motion for leave to amend its complaint and its third motion to amend the scheduling order (“Motion”). On July 5, 2023, Respondents Sterling Container Line Ltd. and Atlantic Forwarding Ltd. filed a response in opposition to the motion (“Opposition”). For the reasons discussed below, the motion to amend the complaint is denied and a fourth amended scheduling order is issued.

The third amended scheduling order was issued on June 26, 2023, in an order denying SeaFair’s motion to compel and granting SeaFair’s second motion to amend the scheduling order (“Compel Order”). That order stated: “Given that the discovery period is now closed, any additional issues regarding discovery may only be raised in the parties’ briefs. No further motions regarding discovery will be permitted.” Compel Order at 1.

SeaFair now states that it “seeks leave to amend its Initial Complaint to more accurately reflect the details concerning payment (or lack thereof) from consignees/third parties to Complainant and from Complainant to the steamship line” and it seeks to extend the deadline for filing its initial brief by 44 days, to permit filing of a response to the proposed amended complaint. Motion at 2, 9.

Respondents state that “the Motion to Amend should be denied and the parties should be required to adhere to the Third Amended Scheduling Order of June 26, 2023,” arguing:

There are clear and sufficient reasons for the Commission to deny Complainant’s Motion to Amend, including (i) the prejudice to the Respondents and unwarranted burden on the Commission, and (ii) the undue delay and dilatory motive that markedly characterizes SeaFair’s proposed revisions to fundamental facts within its Complaint that it was (or should have been) aware of when it filed its Original Complaint approximately 194 days prior to filing the instant Motion to Amend.

Opposition at 1 (emphasis omitted).

Commission Rule 66(a) provides in pertinent part that amendments “will be permitted or rejected, either in the discretion of the Commission or presiding officer. No amendment will be allowed that would broaden the issues, without opportunity to reply to such amended pleading and to prepare for the broadened issues.” 46 C.F.R. § 502.66(a).

The Commission’s Rules do not provide criteria for evaluating whether to grant or deny a motion to amend a complaint. However, Commission Rule 12 provides that “for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice.” 46 C.F.R. § 502.12. Under Federal Rule 15(a)(1)(B), “a party may amend its pleading once as a matter of course” within 21 days after service of a responsive pleading. F.R.C.P. 15(a)(1)(B). After that period, an amended pleading is permitted with opposing party’s written consent or leave of court, which should be freely given when justice so requires. F.R.C.P. 15(a)(2). “Denial of leave to amend therefore constitutes an abuse of discretion unless the court gives sufficient reason, such as futility of amendment, undue delay, bad faith, dilatory motive, undue prejudice, or repeated failure to cure deficiencies by previous amendments.” *Bancoult v. McNamara*, 214 F.R.D. 5, 8 (D.D.C. 2003) (citations omitted); *see also Foman v. Davis*, 371 U.S. 178, 182 (1962).

Here, the request to file an amended complaint was filed after discovery was completed and only ten days before SeaFair’s initial briefing was due. Delay is “undue” when an unwarranted burden is placed on the court or when the requesting party has had previous opportunities to amend. *Cellectis S.A. v. Precision Biosciences*, 883 F. Supp. 2d 526, 532 (D. Del. 2012) (citing *Estate of Oliva ex rel. McHugh v. New Jersey*, 604 F.3d 788, 803 (3d Cir. 2010)). “Undue delay is delay that prejudices the nonmoving party or imposes unwarranted burdens on the court.” *BNSF Ry. Co. v. San Joaquin Valley R.R. Co.*, 2011 WL 3328398, at *2, (E.D. Cal. Aug. 2, 2011) (citing *Mayreaux v. Louisiana Health Serv. and Indem. Co.*, 376 F.3d 420, 427 (5th Cir. 2004)). The undue delay caused by the request to amend the complaint at this late date, after discovery has closed and briefing is about to begin, justifies denying it.

Moreover, the amended complaint may broaden the issues and lead to additional motions practice or the need to reopen discovery. This could further delay the proceeding and prejudice opposing parties. Courts particularly disfavor motions to amend whose timing prejudices the opposing party by requiring a reopening of discovery with additional costs, a significant postponement of the trial, and a likely major alteration in trial tactics and strategy. *Adams v. Magnusson*, 2021 WL 2078000, at *1 (D. Me. 2021) (citations omitted); *Acosta–Mestre v. Hilton Int’l of P.R., Inc.*, 156 F.3d 49, 52 (1st Cir. 1998).

SeaFair does not explain why the motion to amend was not filed sooner. It appears that many of the proposed changes are, or should have been, within SeaFair’s knowledge, including SeaFair’s role as a “destination agent,” whether it collected payments for the charges at issue, and the damages sustained by SeaFair. Given the timing of the motion to amend, the undue delay, and the prejudice to opposing parties and the court, the motion for leave to amend is denied.

Prior to filing their briefs, the parties should carefully review Commission caselaw, including regarding reparations. In the complaint, SeaFair seeks reparations for actual injury, interest, and attorneys' fees; a penalty of not less than \$25,000, citing 46 U.S.C. § 41107; a cease-and-desist order; and notes that damages "extend beyond SeaFair to include its inability to pay destination charges for other clients, resulting in the loss and/or depreciation of goods for shipments for which SeaFair serves as destination agent." Complaint at 2-3. In the motion to amend the complaint, SeaFair includes this description of part of its damages:

30. The damages that SeaFair will sustain unless Respondents pay the destination charges directly to the steamship lines or unless SeaFair is able to obtain payment from Respondents so it can pay the outstanding invoices from the steamship lines immediately include: (1) collection suit by the steamship lines; (2) inability to conduct business with the steamship lines; and (3) steamship lines' refusing to release shipments for which SeaFair serves as the origin or destination agent, which could result in the loss and/or depreciation of goods for other shipments for which SeaFair serves as origin or destination agent.

Motion at 6 (emphasis omitted).

The damages that any complainant may be entitled to are limited by what is permitted by the Shipping Act and Commission regulations. For example, typically, civil penalties under 46 U.S.C. § 41107 are awarded in proceedings initiated by the Commission's Bureau of Enforcement. *See, e.g., Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC – Possible Violations of 46 U.S.C. § 41102(c)*, 4 F.M.C.2d 53, 98 (ALJ April 22, 2022).¹ Moreover, civil penalties are payable "to the United States Government," not to individual complainants. 46 U.S.C. § 41107.

The Shipping Act requires that the "Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation" of the Act. 46 U.S.C. § 41305(b). Complainants bear the burden of proving that they are entitled to reparations. *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2022 WL 2209421, at *3 (FMC June 10, 2022). "As the Commission has explained: '(a) damages must be the proximate result of violations of the statute in question; (b) there is no presumption of damage; and (c) the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation.'" *MAVL Capital*, 2022 WL 2209421, at *3 (citations omitted). Reparations will only be awarded based on actual damages. *MAVL Capital*, 2022 WL 2209421, at *3. "Actual damages means 'compensation for the actual loss or injuries sustained by reason of the wrongdoing' which complainants must show to a reasonable degree of certainty." *MAVL Capital*, 2022 WL 2209421, at *3 (quoting *California Shipping*, 1990 WL 427466, at *23 (FMC Oct. 19, 1990)); *see also OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG and Hamburg Sud North America, Inc.*, 2023 WL 3969857, at *40 (ALJ June 7, 2023). The parties should address the Commission's requirements for reparations in their briefing.

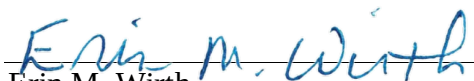
¹ Recent Commission cases, as well as cases from 1919-1987, are available on the FMC Proceedings and Reports page, available at: <https://www.fmc.gov/activity-logs>.

Regarding attorney fees, pursuant to the Howard Coble Coast Guard and Maritime Transportation Act of 2014, 46 U.S.C. § 41305(e), and Commission Docket No. 15-06, under certain circumstances, attorney fees may be awarded to the prevailing party in a complaint proceeding. Commission Rule 254 states that in “any complaint proceeding brought under 46 U.S.C. § 41301 (sections 11(a)-(b) of the Shipping Act of 1984), the Commission may, upon petition, award the prevailing party reasonable attorney fees.” 46 C.F.R. § 502.254(a). The leading Commission cases implementing the rule are *Edaf Antillas, Inc. v. Crowley Caribbean Logistics*, 34 S.R.R. 439, 2016 WL 5110081 (FMC Sept. 14, 2016) and *Baltic Auto Shipping Inc. v. Hitrinov*, 34 S.R.R. 944, 2017 WL 4924883 (FMC Oct. 25, 2017). Attorney fee petitions are not filed until the decision becomes final, 46 C.F.R. § 502.254(c), and do not need to be addressed in the parties’ briefing scheduled below.

The parties should review the scheduling orders, Initial Order, and Compel Order for additional requirements for filing briefs. The parties should cite Commission case law supporting their legal arguments and cite evidence in their appendix by bates page numbers to support their positions. The parties are encouraged to discuss resolution of the proceeding, and if settlement is reached, they must submit a motion seeking approval of the settlement agreement, with a copy of the settlement agreement attached.

For the reasons identified above, it is hereby **ORDERED** that Complainant’s motion for leave to file an amended complaint be **DENIED** and Complainant’s third motion to amend the scheduling order be **GRANTED IN PART AND DENIED IN PART**. The parties will be granted an additional three weeks to file their briefs, as outlined below. No further extensions will be permitted. The parties shall follow this fourth amended schedule:

July 28, 2023	Complainant’s brief, proposed findings of fact, and appendix.
August 28, 2023	Respondents’ opposition brief, responses to proposed findings of fact, proposed findings of fact, and appendix.
September 12, 2023	Complainant’s reply brief and responses to proposed findings of fact.


Erin M. Wirth
Chief Administrative Law Judge